



Taking Payments

For your business to succeed, you will need to be able to accept payments electronically. Give customers several payment options, so it is easier for them to make purchases and for fewer sales to fall through.

Paying electronically

To enable a customer to pay electronically (using a debit or credit card either in person or online), you need to open an account with a merchant service provider, who will give you access to their e-payment system in return for a fee. Merchant services provide payment gateways (for online transactions) and payment processors (for use in person), and act as intermediaries to communicate between your customer's source of funds, typically a bank, and your own bank or other type of financial account. Some merchant providers can offer combined gateway and processor technology. If you make sales with the customer in person, you need a payment processor combined with a terminal—a

device that reads the customer's debit or credit card, or the mobile wallet on their phone. Merchant services are widely available, and the convenience to both your business and your customers will easily outweigh the costs involved.

You may be able to manage without using a merchant account—for example, by asking customers to pay via online transfers directly into your business bank account. However, merchant services not only offer the widest range of payment options, but they also help streamline your payment system, helping you provide refunds easily, as well as shouldering some of the risk of customers attempting to reverse transactions.

How e-payment systems work

With cash use on the decline, e-payment—making paperless transactions via an electronic medium—is fast becoming the main way of making purchases. In the seconds it takes for an e-payment, the customer's bank and your bank “talk” to one another through a payment gateway or processor. If the customer has enough funds,

the transaction is approved, and payment usually follows later. You might also wish to accept cryptocurrency, such as Bitcoin by choosing a bitcoin payment processing provider (PSP) and opening a bitcoin account. Customers pay you from their bitcoin wallets, and bitcoins can be converted to your local currency after the sale.

1

Customer provides account information

Using a terminal, the customer inserts, swipes, or taps their card, or taps their phone. When shopping online, the customer inputs their card or digital wallet details.

2

Authorization request sent

The merchant service provider gathers the transaction data and sends a secure request via a payment gateway/processor for approval to pay the seller.

3

Request approved or declined

The customer's bank approves the purchase if there is sufficient money in their account; otherwise, it declines.

